IA-1 (Case Study Report)

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Title of Case Study: **Pradhan Mantri Jan Dhan Yojana (PMJDY)**

Category of Case Study: Financial Inclusion

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Chapter No: 1

Introduction

1.1 Overview of the Policy

Prime Minister Narendra Modi on 15 August, 2014 announced "Pradhan Mantri Jan-Dhan Yojana (PMJDY)" which is a National Mission for Financial Inclusion.The task is gigantic and is a National Priority. This National Mission on Financial Inclusion has an ambitious objective of covering all households in the country with banking facilities and having a bank account for each household. It has been emphasised by the Hon'ble PM that this is important for including people left-out into the mainstream of the financial system. The Pradhan Mantri Jan-Dhan Yojana will be launched on 28 August, 2014, across the nation simultaneously. It will be launched formally in Delhi with parallel functions at the state level and also at district and sub-district levels. Camps are also to be organized at the branch level. The Pradhan Mantri Jan-Dhan Yojana lies at the core of the development philosophy of "Sab Ka Sath Sab Ka Vikas". With a bank account, every household would gain access to banking and credit facilities. This will enable them to come out of the grip of moneylenders, manage to keep away from financial crises caused by emergent needs, and most importantly, benefit from a range of financial products. As a first step, every account holder gets a RuPay debit card with a 1,00,000/- accident cover. Further, they will be covered by insurance and pension products. There is a need to enroll over 7.5 crore households and open their accounts.

Earlier efforts by the Government of India included setting up a committee on financial inclusion under the chairmanship of Dr. C. Rangarajan. The committee finalized its report in early 2008. As is evident from the preamble of the report, the committee interpreted financial inclusion as an instrumentality for social transformation. "Access to finance by the poor and vulnerable groups is a prerequisite for inclusive growth. In fact, providing access to finance is a form of empowerment of the vulnerable groups. Financial Inclusion denotes delivery of financial services at an affordable cost to the vast sections of the disadvantaged and low-income groups. The various financial services included credit, savings, insurance and payments and remittance facilities. The objective of financial inclusion is to extend the scope of activities of the organized financial system to include within its ambit people with low incomes. Through graduated credit, the attempt must be to lift the poor from one level to another so that they come out of poverty."

In India, the Banking industry has grown both horizontally and vertically but the branch penetration in rural areas has not kept pace with the rising demand and the need for accessible financial services.

Even after decades of bank nationalization, whose rationale was to shift the focus from class banking to mass banking, we still find usurious money lenders in rural areas and urban slums continuing to exploit the poor. After economic reforms of 1991, the country can ill-afford not to include the poor in the growth paradigm. Financial Inclusion of the poor will help in bringing them to the mainstream of growth and would also provide the Financial Institutions an opportunity to be partners in inclusive growth.

Experiences in India and abroad have shown that traditional Banks have struggled to reach the poor with financial services. Recognizing this fact, many countries such as Brazil, Indonesia, Malaysia, Mexico etc. have allowed non-banks to offer payments, deposits and cash-in/cash-out services. Similarly, in India, enabling an inclusive competitive landscape should be a top priority.

India has several strategic assets providing favourable initial conditions for transformational change towards digital financial inclusion:

- A strong banking network (1,15,000 branches) linked to eKuber (RBI's Core Banking Solution), now spreading into unbanked rural areas.
- A significant outreach of India Post (1,55,000 outlets), PoS and ATM terminals which can facilitate a vibrant cash-in/cash-out network across the country.
- A nation-wide telecom network with 886 million mobile connections and 72% mobile penetration.
- Strong Network of computer based service providers in the form of Common Service Centres (CSC) promoted by Deptt of IT.
- A strong national payments infrastructure that includes an Inter-Mobile Payments Service / Immediate Payment System (IMPS) to transfer funds over mobile phones.
- A world class national ID system covering the largest (650M) headcount and expanding by 30M citizens per month.

Objective of "Pradhan Mantri Jan-Dhan Yojana (PMJDY)" is ensuring access to various financial services like availability of basic savings bank account, access to need based credit, remittances facility, insurance and pension to the excluded sections i.e. weaker sections & low income groups. This deep penetration at affordable cost is possible only with effective use of technology.

1.2 Objectives of the Study

The objective of this case study is to conduct a comprehensive overview of the Pradhan Mantri Jan Dhan Yojana (PMJDY) as an initiative for advancing national financial inclusion in India. Launched to bridge the divide between the formal backing system and the unbanked population, the scheme aims to ensure universal access to financial services including basic savings accounts, remittable credit, insurance and pension facilities at an affordable cost.

This study examines the operational efficiency, reach and overall socioeconomic impact of PMJDY since its starting. It evaluates how successfully the initiative has shifted the banking paradigm from high cost , urban centric “class banking” to scalable, accessible “mass banking.” . The study explores the role of digital infrastructure, such as the Jan Dhan Aadhaar Mobile (JAM) trinity and the business correspondent (Bank Mitra) network, in driving account usage, enabling Direct Benefit transfers (DBT) and reducing dependency on informal, predatory money lenders. Ultimately, this research aims to identify key operational challenges, evaluate the sustainability of zero balance accounts, and provide recommendations to strengthen rural financial ecosystems, enhance digital literacy, and foster long term economic empowerment for low income households across the country.

Chapter No : 2

Background

2.1 Situation Before the Event

• Despite various measures for financial inclusion, poverty and exclusion continue to dominate socio-economic and political discourse in India even after six decades of post economic independence era. Though the economy has shown impressive growth during post liberalization era of 1991, impact is yet to percolate to all sections of the society and therefore, India is still home of 1/3 rd of world's poor.

• Census, 2011 estimates that only 58.7% of the households have access to banking services

• The banking network of the country (as on 31.03.2014) comprises a bank branch network of 1,15,082 and an ATM network of 1,60,055. Of these, 43,962 branches (38.2%) and 23,334 ATMs (14.58%) are in rural areas .

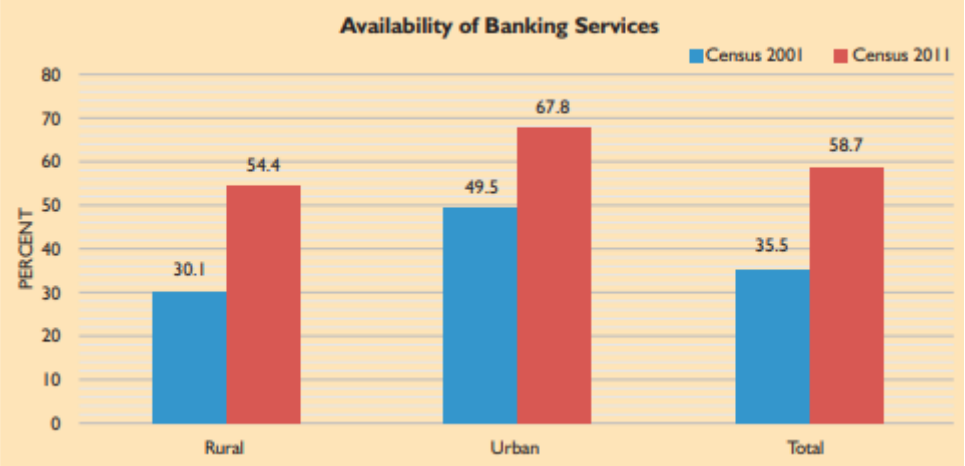


Table 1

a. Financial Inclusion - Summary progress of all Banks including Regional Rural Banks (RRBs), during five years period are as under:

Particulars	Year Ended 2010	Year Ended 2011	Year Ended 2012	Year Ended 2013	Year Ended 2014
Banking Outlets in Villages					
a) Branches	33,378	34,811	37,471	40,837	46,126
b) Villages covered by BCs[2]	34,174	80,802	1,41,136	2,21,341	3,37,678
c) Other modes	142	595	3,146	6,276	--
d) Total	**67,674**	**1,16,208**	**1,81,753**	**2,68,454**	**3,83,804**
Urban Locations through BCs	447	3,771	5,891	27,143	60,730
Basic Saving Bank Deposit A/c- branches					
a) No. in millions	60.19	73.13	81.20	100.80	126.00
b) Amt. in billions	44.33	57.89	109.87	164.69	273.30
Basic Saving Bank Deposit A/c- BCs					
a) No. in millions	13.27	31.63	57.30	81.27	116.90
b) Amt. in billions	10.69	18.23	10.54	18.22	39.00
OD facility availed in BSBDA's account					
a) No. in millions	0.18	0.61	2.71	3.92	5.90
b) Amt. in billions	0.10	0.26	1.08	1.55	16.00
KCCs (No. in millions)	24.31	27.11	30.24	33.79	39.90

Table 2

b. The statistics show that there is substantial progress towards opening of accounts, providing basic banking services during the recent years as indicated above. However, it is essential that all the sections be financially included in order to have financial stability and sustainability of the economic and social order.

c. According to World Bank Findex Survey (2012) (http://www-wds.worldbank.org/external/default/WDSContentServer/IW3P/IB/2012/04/19/000158349_20120419083611/Rendered/PDF/WPS6025.pdf), only 35% of Indian adults had access to a formal bank account and 8% borrowed from a formal financial institution in last 12 months. The miniscule number suggests an urgent need to further push the financial inclusion agenda to ensure that people at the bottom of the pyramid join the mainstream of the formal financial system.

Recent Important Guidelines on Financial Inclusion:
• 2006: In January, banks were allowed to enlist non-profit Bank Mitra (Business Correspondent) as agents for delivery of financial services, acting in the capacity of 'last-mile infrastructure'.
• 2008: In April, it was determined that BCs should be located not more than 15 kilometres from the nearest bank branch, so as to ensure their adequate supervision. This was a very restrictive rule that severely limited the expansion of this model.
• 2008: The RBI issued operative guidelines for mobile banking and amended the same in December 2009 to ease the various transaction limits and security norms.

• 2009: Individual for profits were allowed to participate as BCs, and this category included kirana store, gas stations, PCOs etc. Further, BCs were allowed to operate up to 30 kilometres from the nearest bank branches.
• 2009: Banks were allowed to apply 'reasonable' service charges from customers to ensure viability of the BC model, and to pay a 'reasonable' commission/fee to the BCs to incentivize them.
• 2010: In June the RBI and TRAI were able to reach an initial agreement regarding the rollout of mobile banking, whereby TRAI would deal with all interconnection issues and RBI would handle the banking aspects such as KYC checks, transaction limits etc.
• 2010: In September, all companies listed under the Companies Act (1956) were allowed to act as BCs, with the exception of non-bank financial companies.
• 2010: The same directive determined that the distance rule was open to an optional relaxation in certain cases, based on the decision of the State Level Bankers' Committees.
• However, document verification falls under the domain of the banks, to ensure adherence to KYC norms. This does slow down the account opening process.
• 2011: In January, TRAI announced its intent to fix mobile tariffs for financial services as against their current market pricing, with a view to ensuring affordability.
• 2011: RBI issued guidelines for opening Aadhaar Enabled Bank Accounts to facilitate routing of MGNREGA wages and other social benefits into the accounts using EBT.
• 2012: RBI permitted Aadhaar letter as a proof of both Identity & Address for the purpose of opening of bank Accounts
• 2012: GoI introduced Sub Service Area (SSA) approach for opening of banking outlet and for Direct Cash Transfer.
• 2012: Aadhaar Payment Bridge System (APBS) was introduced for centralized credit of Social Benefits.
• Guidelines on Direct Benefit Transfer issued by GoI.
• 2013: To ease the account opening process RBI permitted to use e-KYC.
• TRAI issued guidelines on USSD based mobile banking services for FI.
• 2014: RBI issues guidelines for scaling up of Business Correspondent model.

2.2 Key Facts and Timeline

PMJDY to be executed in the Mission Mode, envisages provision of affordable financial services to all citizens within a reasonable distance. It comprises of the following six pillars:-

a. Universal access to banking facilities: Mapping of each district into Sub Service Area (SSA) catering to 1000-1500 households in a manner that every habitation has access to banking services within a reasonable distance say 5 km by 14th August, 2015. Coverage of parts of J&K, Himachal Pradesh, Uttarakhand, North East and the Left Wing Extremism affected districts which have telecom connectivity and infrastructure constraints would spill over to the Phase II of the program (15th August, 2015 to 15th August, 2018)

b. Providing Basic Banking Accounts with overdraft facility and RuPay Debit card to all households: The effort would be to first cover all uncovered households with banking facilities by August, 2015, by opening basic bank accounts. Account holders would be provided a RuPay Debit Card. Facility of an overdraft to every basic banking account holder would be considered after satisfactory operation / credit history of six months.

c. Financial Literacy Programme: Financial literacy would be an integral part of the Mission in order to let the beneficiaries make best use of the financial services being made available to them.

d. Creation of Credit Guarantee Fund: Creation of a Credit Guarantee Fund would be to cover the defaults in overdraft accounts.

e. Micro-Insurance: To provide micro-insurance to all willing and eligible persons by 14th August, 2018, and then on an ongoing basis.

f. Unorganized sector Pension schemes like Swavalamban: By 14th August, 2018 and then on an ongoing basis.
Under the mission, the first three pillars would be given thrust in the first year.

Comprehensive Financial Inclusion of the excluded sections is proposed to be achieved by 14th August, 2018 in two phases as under:
Phase I (15th Aug, 2014 - 14th Aug, 2015)
• Universal access to banking facilities in all areas except areas with infrastructure and connectivity constraints like parts of North East, Himachal Pradesh, Uttarakhand, J&K and 82 Left Wing Extremism (LWE) districts.
• Providing Basic Banking Accounts and RuPay Debit card which has inbuilt accident insurance cover of ` 1 lakh. Aadhaar number will be seeded to make the account ready for DBT payment.
• Financial Literacy Programme

Phase II (15th Aug, 2015 - 14th Aug, 2018)
• Overdraft facility up to 5000/- after six months of satisfactory operation / history • Creation of Credit Guarantee Fund for coverage of defaults in A/Cs with overdraft limit up to 5,000/-.
• Micro Insurance
• Unorganized sector Pension schemes like Swavalamban

Some of the Phase II activities would also be carried out in Phase I. In addition, in this phase, coverage of households in hilly, tribal and difficult areas would be carried out. Moreover, this phase would focus on coverage of remaining adults in the households and students.

Chapter No : 3
Case Description

3.1 Description of the Policy

• To provide Bank Account to every household in the country and make available the basic banking services facilities i.e. (i) Opening of Bank Account with RuPay Debit Card & Mobile Banking facility, (ii) Cash Withdrawal & Deposits, (iii) Transfer, (iv) Balance Enquiry & (v) Mini Statement. Other services are also to be provided in due course in a time bound manner apart from financial literacy which is to be disseminated side by side to make citizens capable to use optimum utilization of available financial services. To provide these banking services banking outlets to be provided within 5 KM distance of every village. Necessary infrastructure also needs to be placed to enable e-KYC for account opening and AEPS for withdrawal of cash based biometric authentication from UIDAI data base.

• Putting the PSBs and RRBs numbers together implies that about 5.92 crore rural households are yet to be covered. Considering field level data mismatches in some instances, it is estimated that there are about 6 crore uncovered households which would need to be covered in the rural areas.

• Assuming a minimum of one account per family, this translates into opening of 6 crore accounts in villages.

• In addition account opening of uncovered households in urban areas would also be required. These households are estimated at 2.55 crore as per Census, 2011. However, the exact number of households without bank accounts are not available but estimated to be 1.5 crore implying opening of about 1.5 crore accounts in urban areas.

• All the 6 lakh villages across the entire country are to be mapped according to the Service Area of each Bank to have at least one fixed point Banking outlet catering to 1000 to 1500 households, called as Sub Service Area (SSA). It is proposed that SSAs shall be covered through a combination of banking outlets i.e. branch banking and branch less banking. Branch banking means traditional Brick & Mortar branches. Branchless banking comprises of fixed point Business Correspondents agents, who act as representative of Bank to provide basic banking services.

• The implementation strategy of the plan is to utilize the existing banking infrastructure as well as expand the same to cover all households. While the existing banking network would be fully geared up to open bank accounts of the uncovered households in both rural and urban areas, the banking sector would also be expanding itself to set up an additional 50,000 Business Correspondents (BCs), more than 7,000 branches and more than 20,000 new ATMs in the first phase .

3.2 Key Stakeholders Involved

The Pradhan Mantri Jan Dhan Yojana relies on a multi stakeholder framework that includes government entities, financial institutions and grassroots networks.

At the top level, the Ministry of Finance(Government of India) and the Reserve Bank of India(RBI) act as primary architects, establishing policy directives, regulatory guidelines and oversight mechanisms. Implementation is done by Public Sector Banks, Regional Rural Banks and Private Sector Banks which bear the operational responsibility of opening basic savings accounts, issuing RuPay debit cards and providing credit facilities like overdrafts.

An important operational layer is the Business Correspondent(BC) network, of Bank Mitras, Acting as last mile infrastructure these local agents including kirana store owners, telecom outlets and self help group members bring branchless banking directly to remote unbanked habitations.

Technological and Identity Infrastructure partners are also vital. The Unique Identification Authority of India (UIDAI) enables biometric authentication via Aadhaar for seamless e-KYC account creation, while the National Payments corporation of India powers the digital payment backbone through the Aadhaar payment bridge system and immediate payment service(IMPS). Additionally, India Post expands physical reach through its extensive nationwide network.

Chapter No: 4

Analysis

4.1 Causes of the Event

The launch of the Prandhan Mantri Jan Dhan Yojana (PMJDY) in 2014 was driven by the structural inefficiencies and widespread financial exclusion across the country. Despite decades of economic growth following the 1991 liberalization, a vast majority of low income and rural households remained entirely detached from the formal banking sector.

A primary cause was the failure of earlier initiatives to achieve last mile financial penetration. As of the 2011 Census, only 58.7% of Indian households had access to basic banking services, leaving over 40% completely unbanked. Traditional brick and mortar bank branches concentrated heavily in urban centers due to high operational costs, making rural outreach economically unviable. Millions of poor households in rural areas and urban slums relied on local, informal money lenders who exploited them with high interest rates, trapping generations in debt cycles.

Furthermore, existing financial inclusion efforts suffered from unorganized documentation requirements, rigid KYC norms and minimum balance mandates that deterred low income individuals. This lack of access created subsidies often failed to reach intended beneficiaries directly due to middleman intervention.

To overcome these problems, the Government of India recognized the urgent need for a unified, "Mission Mode" framework. Leveraging newly developed strategic assets such as the expanding Aadhaar digital identity system, widespread mobile connectivity and an emerging Business Correspondent network. PMJDY was conceived to fundamentally shift banking from an elite privilege to a universal public utility. The initiative aimed to dismantle structural entry barriers by offering zero balance accounts, simplified e-KYC validation, integrated social security benefits and seamless Direct Benefit Transfer mechanisms directly to the unbanked population.

4.2 Financial and Social Impact

The Pradhan Mantri Jan Dhan Yojana (PMJDY) has been a cornerstone of India's financial inclusion efforts, garnering significant academic attention. Mrunal Joshi (2016) examines the scheme's early impact, noting that by January 2015, over 12.54 crore accounts had been opened, with International Journal of Finance and Commerce www.commercejournals.com 23 deposits surpassing ₹5,000 crore. The study highlights how PMJDY aimed to integrate rural populations into formal

banking by streamlining cash flows and facilitating direct benefit transfers (DBTs). Despite early achievements, challenges such as a lack of awareness and low financial literacy persisted. Mohana Krishna Irrinki (2017) builds upon this foundation, analyzing public perceptions and innovative features of PMJDY, including zero-balance accounts, RuPay debit cards, and life and accidental insurance. The study underscores how these benefits helped cultivate banking habits among previously unbanked populations, particularly in rural areas like Thallarevu Mandal. A more data-driven approach is seen in Parveen Kumar Nimbrayan et al. (2018), who measure PMJDY's impact through financial inclusion metrics. By February 2018, the scheme had led to the opening of over 31 crore accounts, with deposits reaching ₹74,534.79 crore. Their study highlights that PMJDY achieved 100% household coverage in several regions, demonstrating its effectiveness in bridging gaps in financial accessibility. Sonu (2019) shifts the focus to the integration of PMJDY with welfare schemes, emphasizing its role in facilitating pension payments, LPG subsidies, and other government benefits. While these developments were positive, concerns over inactive accounts and residual unbanked populations remained. The long-term assessment by Satish Modi (2021) acknowledges PMJDY's progress in expanding access to savings, credit, and insurance services six years after its launch. However, the study also emphasizes the need for sustained outreach programs and infrastructural improvements to ensure more comprehensive financial inclusion. Kamini Gupta (2023) [10] highlights the role of public sector banks in executing the scheme, particularly in rural areas, and notes that PMJDY set a Guinness World Record on its launch day with 15 million accounts opened. The researcher describes the scheme as a "game changer" that helped reduce subsidy leakages and promote a savings culture through DBTs. Further expanding on the evolving nature of PMJDY,

Prakash Chandra Lenka (2023) analyzes its impact over eight years, highlighting improvements in access to banking, remittances, credit, and insurance. However, he warns that for meaningful financial inclusion, account activity must increase. Dormant accounts and limited digital literacy, particularly in rural and semiurban areas, continue to be significant challenges. Amrita Bhatty (2023) employs structured surveys and regression analysis to conclude that financial literacy and efficient service delivery are crucial for the scheme's success. More recent studies take a forward-looking approach. Saman Zameer (2024) discusses PMJDY's integration with Aadhaar and digital payment platforms like UPI. The study examines the determinants of financial inclusion and predicts future trends, while also acknowledging barriers such as the digital divide and service quality gaps. Ritika Sharma (2024) explores the role of fintech innovations in expanding PMJDY's reach, particularly through mobile banking and digital wallets. While these advancements have benefited urban and semi-urban areas, digital illiteracy and cybersecurity concerns remain obstacles in rural regions. Vikram Mehta (2024) investigates gender disparities in PMJDY adoption, revealing that while the number of women account holders has significantly increased, persistent challenges such as

limited financial awareness and restricted mobility hinder active usage. The role of PMJDY in economic recovery is explored by Ananya Ghosh (2024), who assesses its significance in postpandemic financial relief. The study highlights how Jan Dhan accounts played a crucial role in facilitating emergency fund transfers and government relief payments during the COVID-19 crisis, particularly for migrant workers and informal sector employees. Ramesh Iyer (2024) focuses on regional variations in PMJDY's success, identifying states with strong financial inclusion and others still lagging behind due to inadequate banking infrastructure and limited digital connectivity. Pooja Nair (2024) evaluates the long-term sustainability of PMJDY, emphasizing the need for policy reforms to improve account activity, strengthen financial literacy, and encourage private sector collaboration.

Sl. no	Year	Male	Female
1.	March 2015	7.15	7.39
2.	March 2016	10.37	11.05
3.	March 2017	13.67	14.49
4.	March 2018	14.85	16.60
5.	March 2019	16.53	18.74
6.	March 2020	17.85	20.48
7.	March 2021	18.82	23.38
8.	March 2022	19.98	25.08
9.	March 2023	21.60	27.05
10.	March 2024	23.05	28.90

Source: Annual report of Ministry of Finance

Table 3

Sl no	Year	Rural / Semi-urban	Urban / Metro
1.	March 2015	8.68	5.86
2.	March 2016	13.17	8.26
3.	March 2017	16.87	11.30
4.	March 2018	18.52	12.92
5.	March 2019	20.90	14.37
6.	March 2020	22.63	15.70
7.	March 2021	27.85	14.35
8.	March 2022	30.07	14.99
9.	March 2023	32.45	16.20
10.	March 2024	34.58	17.36

Table 4

4.3 Role of Technology

Technology and financial inclusion are the popular coinage in banking parlance in the country. Main hurdle in financial inclusion so far has been large numbers and low volumes, translating into unaffordable costs. The only way to bring down the cost to an affordable level and to improve the reach to the farthest / remotest corner of the country is by effectively leveraging the Technology. In order to make available the banking facilities across the length and breadth of the country, latest technological products like e-KYC, IMPS, AEPS, mobile banking etc. have the potential to emerge as a game changer in terms of costs, convenience, and speed of reach. Business models of banks, telecom operators and other stakeholders need to converge. Under the guidance of RBI various organisations like National Payments Corporation of India (NPCI), Institute for Development & Research in Banking Technology (IDRBT) etc. are contributing significantly in bringing new technology based products. Reserve Bank has, thus, been actively involved in harnessing technology for the development of the Indian banking sector over the years.

(i) Electronically Know Your Customer (e-KYC).

In the year 2013, RBI permitted e-KYC as a valid process for KYC verification under Prevention of Money Laundering (Maintenance of Records) Rules, 2005. In order to reduce the risk of identity fraud, documentary forgery and have paperless KYC verification, UIDAI has launched its e-KYC services. Under the e-KYC process under the explicit consent of the customer and after his or her biometric authentication from UIDAI database individual basic data comprising name, age, gender and photograph can be shared electronically with Authorised Users like Banks, which is a valid process for KYC.

(ii) Transaction through Mobile Banking:

The mobile-phone revolution that is transforming the country could also turn into a banking revolution in terms of reach and transaction. Today, the number of mobiles in India is 886 million.

The reach of mobile to the remote village and its usage by the common man has become order of the day th and it is estimated that around 1/4 of mobile users are residing in villages/small towns. The coverage of mobile phones and the use of such instruments by all section of the population can be exploited for extending financial services to the excluded populations. It enables the subscribers to manage their financial transactions (funds transfer) independent of place and time. The subscriber can approach a retailer of mobile network for withdrawal/deposit of money and the transaction takes place using SMS messages.

(iii) Immediate Payment System (IMPS): Immediate Payment Service (IMPS) was launched by NPCI on 22nd November, 2010. It offers an instant, 24X7, interbank electronic fund transfer service through mobile phones as well as internet banking & ATMs.

(iv) Micro-ATMs: Micro-ATMs are biometric authentication enabled hand-held device. In order to make the ATMs viable at rural / semi-urban centers, low cost Micro-ATMs would be deployed at each of the Bank Mitra location. This would enable a person to instantly deposit or withdraw funds regardless of the bank associated with a particular Business Correspondent.

(v) RuPay Debit cards: RuPay is a new card payment scheme launched by the National Payments Corporation of India (NPCI), to offer a domestic, open-loop, multilateral system which will allow all Indian banks and financial institutions in India to participate in electronic payments. "RuPay", the word itself has a sense of nationality in it. "RuPay" is the coinage of two terms Rupee and Payment. RuPay Cards address the needs of Indian consumers, merchants and banks. The benefits of RuPay debit card are the flexibility of the product platform, high levels of acceptance and the strength of the RuPay brand-all of which will contribute to an increased product experience. The main features are as

under: • Lower cost and affordability • Customized product offering • Protection of information related to Indian consumers • Provides electronic product options to untapped/unexplored consumer segment

Chapter No: 5

Key Learnings

5.1 Limitation of the study

The area of research is wide so it is not feasible to cover the entire state, hence the study will be restricted to PMJDY beneficiaries in selected districts of Rajasthan where the rural population is highest. As it is difficult to study all the factors of financial inclusion within a limited time, so researcher has studied only limited factors like social factor, economic factor and quality of life factor. The study is limited to the state of Rajasthan, so it may be possible that findings may vary to the other parts of the country. Time period for the study was limited i.e. 3 year. The study is limited to only specific rural areas and therefore, several other potential samples outside these areas may be studied by future researchers.

5.2 Suggested Improvements

1. More people should be motivated to get an account in any bank. People should be saved, by all means from the clutches of money lenders.

2. Most of the respondents still think that bank account is meant only for saving money. They ought to be taught the other benefits of it like: getting interest on saved money, receiving subsidies from

government, getting scholarships of meritorious students directly there without any fraud or any middleman etc.

3. As financial inclusion is a very useful tool for financial growth of daily wage earners. So, awareness programs must be conducted in rural areas to increase the utilization of financial inclusion services.

4. “Bank Mitr” facility should be encouraged.

5. The bank agents should be from known-crowd of the villagers. It would be better if they communicate with the people in their local language. The visibility of banking agents should also be increased and for that a proper campaign should be launched.

6. The main problem with PMJDY is its “technology enabled delivery mechanism” for financial products. Hence, there is a need to employ a strong and dedicated team for addressing customer grievances in case of technology failure. Too much dependency on technology may create problems as it may unpleasantly sway the persuasion and conviction of prospective customers.

7. It is really disappointing that still many rural people are not equipped with mobile banking. They use their mobiles only like a means of communication, nothing else. Proper and warm-hearted training sessions are the call of the hour.

8. Adequate promotional activities should be implemented to increase the visibility of various schemes.

9. Implementation of simplified KYC norms should be given high priority. Since ADHAR enrolment is an on-going process, care should be taken to ensure that the consumers get the ADHAR cards at the earliest. This process surely helps to improve the Direct Benefit Transfer facility.

Chapter No: 6

Conclusion

6.1 Overall Outcome

PMJDY programme has been broadly successful as a financial inclusion strategy, especially for women, in the rural area. Many women have joined banking sector and opened a PMJDY account. Similarly, respondents who do not have formal education as well as these with few years of education have been able to open PMJDY accounts. There is a general lack of awareness of these financial schemes, but banks, SHGs and BCs have played an increasingly important role in opening of PMJDY accounts. It is interesting note that money lenders continue to be important financial intermediaries but SHGs have consolidated their position and are increasingly extending credit in rural areas. The role of SHGs has been more significant than money lenders in recent years, after launch of PMJDY accounts. The new financial schemes such as insurance, pension and MUDRA have not been

successful in penetrating rural sector, and were not popular with farmers and non-farmers. The use of new facilities under the PMJDY account as well as usage of RuPay card was still not extensive and sufficiently large. The digitization of economy could be a challenge as nearly 90 percent of respondents observed that they require help in operating ATMs and undertaking internet banking.

The instruments offered under financial inclusion also need consideration. There is a significant difference in socio-economic background of people living in rural India and therefore there is a need for flexibility in financial schemes designed for different segments of the unbanked population. Illustratively, standard instruments that are offered by commercial banks are mainly designed for salaried segments of society like recurring deposit schemes would need to differ in rural areas depending on pattern/frequency of income, based on the cycle of agriculture production. Hence the instruments should be more customized to needs of local demography and sources of livelihood.

6.2 Summary

To sum up, financial inclusion is considered to be very important in achieving inclusive growth, and an essential condition for economic development. Perceiving the significance of economic development in India, efforts were being taken to make the financial system more inclusive. PMJDY is the latest measure of financial inclusion initiative undertaken by the government of India. Therefore, this research was conducted with a comprehensive objective to study financial inclusion scheme PMJDY, its effectiveness and implementation in rural areas of Rajasthan. Research was successful as all the desired objectives set in the study was fulfilled. Researcher has contributed in the field of knowledge and has attempted to study the government policy in detail. The finding of this study shows that the PMJDY was successfully implemented in the state of Rajasthan. People are positively affected by the timely bound measures of the scheme. This helps them to uplift their socio-economic condition and improve the quality of their life. For future researchers also, financial inclusion has been discussed broadly. The study helps to know the level of availability of financial services in the rural areas of Rajasthan, which indicates the requirement of financial inclusion schemes like PMJDY. Progress of PMJDY has been discussed, which shows its successful implementation. Further study can be done in other states along with other factors.

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